

CHILE 2011

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1. Overview of the tax-benefit system

Chile has an unemployment insurance that is mandatory for dependant workers of the private system over 18 years old, who began a working relationship after October 2nd of 2002.

There is also an Unemployment Solidarity Fund, financed with employers and State contributions. The purpose is to fund the minimum benefits that the law guarantees to those members who do not have enough resources in their individual accounts at the time of being unemployed.

There is also an Unemployment Subsidy for those dependant workers not included in the unemployment insurance.

Source: <http://www.afcchile.cl/>

1.1. Average Worker wage (AW)

The average worker wage is 5,804,093 Chilean pesos in 2011. Source: OECD Centre for Tax Policy and Administration.

2. Unemployment insurance

Chile has an unemployment insurance that is mandatory for dependant workers of the private system (ruled by the Labour Code) over 18 years old, which began a working relationship after October 2nd of 2002. Incorporation is voluntary for those who signed a contract before that date. Are excluded from the insurance:

- Workers in private homes
- Workers subject to apprenticeship contract
- Workers under 18 years of age
- Workers have the status of pensioners, with the exception of partial disability pensioners
- Self-employed
- Employees governed by any other rule than the Labour Code (for example, public sector workers)

The monthly contribution depends on the member contract. In the case of fixed term contract, the entire cost of insurance is paid by the employer who must contribute 3% of monthly taxable income of the employee, with UF 90¹ top. Only 2.8% of the contribution is accumulated in the worker's individual account and the remaining 0.2% goes to the "Unemployment Solidarity Fund"².

When it comes to an indefinite term contract, the employer must contribute 2.4% of monthly taxable income of the employee, with UF 90³ top, and the worker 0.6% of that same amount. Only 1.6% of the employer contribution is payable on the worker's individual account and the remaining 0.8% is admitted to the "Unemployment Solidarity Fund". It should be noted that the contribution of 1.6% is deductible of the compensation to which the worker is entitled when it is fired "for the needs of the company".

The unemployment insurance benefits are related to the time quoted on the system, type of employment contract and the grounds for termination of the contract. Overall, the person who is fired or quits his job is entitled to make as many turns as the balance of the affiliate's account will allow, thereby, monthly decreasing.

Unemployment insurance also provides other benefits in health, family allowance and outplacement support through the operation of a National Employment Exchange and fellowship training.

In addition, when the worker retires can withdraw, tax-free, the total resources accumulated in his individual account. In case of death, their beneficiaries or heirs can withdraw the accumulated balance, with the same tax benefits.

2.1 Conditions for receipt

2.1.1 Employment conditions

Workers need to be unemployed to receive the benefits. All job losses are covered. However, to have access to the solidarity fund, which complements benefits when the accumulated savings are low, the separation had to be involuntary. Involuntary separations also include severance payments, which are one monthly salary per worked year, up to 11 monthly salaries. They are received in one payment and can be also negotiated between the employer and the worker at the moment the employment relationship started. The employer finances severance payments. Savings in the individual unemployment insurance individual

¹ Approximately 2,2 millions of pesos.

² Explained later on in the Unemployment Assistance Section

³ Approximately 2,2 millions of pesos.

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savings account that were financed by the employer are used to pay for the severance payments. No severance payments are included in the modelling.

To be eligible to get unemployment benefits, the unemployed are required to register into a National Employment Database, to accept any training policy offered by the government and to accept any job offer provided by the government and that exceeds in 50% the last monthly salary.

2.1.2 *Contribution conditions*

They also need to satisfy other conditions that depend on the way contributions were made while the worker was employed. (1) Workers that contributed under a permanent contract need to have contributed for 12 months into the individual savings account since the affiliation to the system or since the last time benefits were financed by that account in a previous unemployment spell. It does not matter if these contributions were continuous or not. (2) Workers that contributed under a transitory contract are required to have contributed for 6 months under the same conditions described in (1) above.

If the balance in the individual savings account implies levels of unemployment benefits that are low compared to the alternative of complementing them with a redistribute fund called solidarity fund, the second option can be chosen by the unemployed. How these amounts are computed is described in 2.2.1. To access the solidarity fund, the worker had to contribute to the system for 12 months since the affiliation to the system or since the receipt of the last unemployment benefit. The last 3 contributions need to be continuous and with the same employer. This fund cannot be used more than two times in the last 5 years.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

Workers have the right to make so many monthly withdrawals from their account balance as their individual savings permits. To calculate account balances, a nominal annual return on investment of 6 per cent was assumed, and a nominal annual wage growth rate of 5.9 per cent (Source: National Institute of Statistics. http://www.ine.cl/canales/chile_estadistico/mercado_del_trabajo/remuneraciones/series_estadisticas/nuevo_series_estadisticas.php, Series Referenciales Base Anual 2009=100, IR-ICMO NOMINAL GENERAL –INDICES Y VARIACIONES). The amount of money corresponds to the percentage of the average salary of the last 6 months for fixed-term employees and 12 months for permanent contract employees prior to dismissal, according to the following table.

Month of Unemployment	Replacement Rate
First	50%
Second	45%
Third	40%
Fourth	35%
Fifth	30%
Sixth	25%
Seventh or over	20%

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

In addition, workers entitled to unemployment insurance maintain health benefits through FONASA (public health financier) and the Family Allowance⁴ while collecting the benefit.

Those who start a new job can choose to get an additional monthly benefit that follows the rules in 2.2.1 or to save that amount in the individual savings account.

2.3 *Tax treatment of benefit and interaction with other benefits*

The contributions, withdrawals and interest earned are exempt from taxes.

2.4 *Benefit duration and waiting periods*

Workers have the right to make so many monthly withdrawals from their account balance as their individual savings permits.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

Not available for people under 18th years old.

2.5.2 *Older workers*

If the worker is never unemployed, may withdraw in a single turn all funds without paying taxes at the moment of his retirement.

Not available for old-age pensioners.

2.5.3 *Others if applicable*

⁴ Financial Benefit assigned to workers for each of the people living at their expenses that comply the requirements established by law.

3. Unemployment assistance

The unemployment insurance has a solidarity fund, financed by employer and state contributions, to fund the minimum benefits that the law guarantees to those members who do not have enough resources in their individual accounts at the time of being unemployed.

There is also an unemployment subsidy, which is a sum of money given to the worker who has lost their job through no fault of their own. All dependent workers may apply, except those allocated to the unemployment insurance scheme. The subsidy is paid for each day that remains unemployed with a maximum of 360 days.

3.1 Conditions for receipt

Unemployment Solidarity Fund

Workers under the unemployment insurance scheme are entitled to receive benefits from the Unemployment Solidarity Fund, if they meet the following requirements:

- Certify monthly the unemployed status.
- The resources of the individual account are insufficient to finance a benefit according to the amounts set by law:

Month of Unemployment	Minimum Amount ⁵ for 2009
First	\$ 88.000
Second	\$ 73.000
Third	\$ 64.000
Fourth	\$ 56.000
Fifth	\$ 48.000
Sixth ⁶	\$ 40.000
Seventh	\$ 40.000

- Have 12 contributions in the past 24 months. The last three quotations must be continuous with the same employer.
- The employment contract has been terminated by agreed deadline for completion of the work or service which gave rise to the contract, a fortuitous event, force majeure or because of needs of the company.

The benefit from the Solidarity Fund is automatically suspended if the worker:

- Loss his unemployed status (find a new job)

⁵ The values shall be adjusted on February 1st of each year, in 100% of the variation experienced in the previous calendar year by the Index of Consumer Prices, as determined by the National Institute of Statistics or the body that replaces it. Moreover, this value will be adjusted on the same occasion indicated above, at 100% of the variation experienced in the previous calendar year, by the index of real wages determined by this body. These values will be adjusted by the wage index referred to above, provided that the change is positive.

⁶ Sixth and Seventh months are paid only if the national unemployment rate, published by the National Institute of Statistics, exceeds by 1 percentage point the average rate of the four previous years.

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- Reject a job without good cause whose remuneration is equal to or greater than 50% of the last salary received.
- Rejects without cause a training grant offered by the Municipal Offices of Employment Information or leaves a course before completion.

Unemployment Subsidy

The unemployment subsidy covers workers that are not covered by the Unemployment Insurance System, a group that is expected to decrease over time. As such, this scheme is not included in the modelling.

Workers under the unemployment insurance scheme entitled to receive the unemployment subsidy must meet the following requirements:

- Being unemployed for reasons beyond their control.
- Have impositions for at least 52 weeks or 12 months, continuous or discontinuous, in any pension system within two years prior to the date of the layoff;
- Being registered in the Unemployment Records that each pension institution must keep and in the municipality, in order to assign him relief work for the benefit of the community
- Not be incorporated to the Unemployment Insurance System

The unemployment subsidy is suspended if the worker rejects a job offered by the National Training and Employment Service without cause, unless the wage offered is less than fifty percent of his last income; or if he refuses to perform the work assigned by the Municipality.

3.1.1 Employment conditions

For both unemployment solidarity fund and subsidy, there are not explicit employment conditions. But, because the insurance and the allowance are only for dependant workers, in practice contribution conditions are employment conditions as well.

3.1.2 Contribution conditions

Unemployment Solidarity Fund

The worker must register 12 contributions to the Unemployment Solidarity Fund in the 24 months prior to dismissal, to be entitled to its benefits. Also, the last 3 should be continuous contributions credited with the same employer that may have been paid for months other than those immediately prior to dismissal

Unemployment Subsidy

Within the unemployment insurance system, for the unemployment subsidy the worker must have impositions for at least 12 months, continuous or discontinuous, in any pension system two years prior to the date of the layoff.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Unemployment Solidarity Fund

Beneficiaries are entitled to receive a maximum of 5 withdrawals in the case they were employed under a permanent contract and 2 withdrawals in the case of employees with fixed term contract.

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Exceptionally, workers are entitled to a sixth and seventh withdrawal if had an indefinite contract or third and fourth if had fixed-term one, if the unemployment rate published by the National Institute of Statistics exceeds by one percentage point the average rate over the last 4 years.

The replacement rate will be calculated based on the average of the 12 salaries before the end of the employment relationship, with minimums and maximums, according to the following table (Source: <http://www.afcchile.cl/frameset.asp?orden=5>)

Month of Unemployment	Replacement Rate	Minimum Benefit (2011)	Maximum Benefit (2011)
First	50%	\$ 102 369	\$ 221 024
Second	45%	\$ 84 920	\$ 198 922
Third	40%	\$ 74 451	\$ 176 819
Fourth	35%	\$ 65 145	\$ 154 717
Fifth	30%	\$ 55 838	\$ 132 615
Sixth	25%	\$ 46 532	\$ 110 512
Seventh	25%	\$ 46 532	\$ 110 512

These amounts are financed first with the individual account balance and complemented with the solidarity fund.

The values are adjusted on February 1st of each year, in 100% of the variation experienced in the previous calendar year by the Index of Consumer Prices and the Index of Real Wages, as determined by the National Institute of Statistics, only if the change is positive.

Unemployment Subsidy

Workers which are not covered by the Unemployment Insurance System (that is those who have not initiated or reinitiated labour contracts after October 2002, are entitled to receive an allowance for periods of 90 days, renewable if it is established that persists in his unemployed condition, to a total maximum of 360 days. The amount is monthly decreasing over time according to the following:

Period	Subsidy per month
First 90 days	\$17.338
Between 91 and 180 days	\$11.500
Between 181 and 360 days	\$8.669

As discussed in section 3.1, the unemployment subsidy is not included in the modelling.

3.2.1.1 Irregular additional payments

There are no irregular additional payments.

3.2.1.2 Obligations of family members

There are no obligations for the family members.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

In addition, workers receiving fund from the Solidarity Fund or from the Unemployment Subsidy maintain health benefits through FONASA (public health financier) and the Family Allowance⁷ while collecting the benefit.-

3.3 *Tax treatment of benefit and interaction with other benefits*

The payments of the unemployment insurance, including the Solidarity Fund, are exempt from taxes.

The unemployment Subsidy is not considered income for any legal purpose, therefore is exempt from taxes.

3.4 *Benefit duration and waiting periods*

Unemployment Solidarity Fund

Beneficiaries are entitled to receive a maximum of 5 withdrawals in the case they were employed under a permanent contract and 2 withdrawals in the case of employees with fixed term contract.

Exceptionally, workers are entitled to a sixth and seventh withdrawal if had an indefinite contract or third and fourth if had fixed-term one, if the unemployment rate published by the National Institute of Statistics exceeds by one percentage point the average rate over the last 4 years.

The worker cannot receive this subsidy more than twice, in a period of 5 years.

Unemployment Subsidy

Workers which are not covered by the Unemployment Insurance System (that is those who have not initiated or reinitiated labour contracts after October 2002, receive the subsidy for periods of 90 days, renewable if it is established that persists in his unemployed condition, to a total maximum of 360 days.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

The Solidarity Fund is not available for people under 18th years old, unlike the unemployment subsidy.

3.5.2 *Older workers*

Not available for old-age pensioners.

3.5.3 *Others if applicable*

⁷ Financial Benefit assigned to workers for each of the people living at their expenses that comply the requirements established by law.

4. Social assistance

Social assistance is carried out by the central government through the Ministry of Social Development, primarily Through a program called “Chile Solidario”

Alongside with limited cash transfers, "Chile Solidario" gives the beneficiary families psychosocial support that is personalized through a system of regular visits to each household. The fundamental role of Family Support is to become a liaison between the family and the public and private social promotion in areas such as: identification, health, education, family dynamics, habitability, Work and Income. This support lasts 24 months, becoming an incentive to leverage the strength of the family as well as assistance in the pursue of their goals.

Conditional on approval in Congress, during 2012 “Chile Solidario” will be replaced by “Ingreso Ético Familiar” (Ethic Family Income). The later will significantly increase cash transfers to target families and reorient social support to families in a clear attempt to promote sustainable labor market participation and insertion.

[The OECD’s 2011 Economic review on Chile, provides an accurate an thorough description on Chile’s Cash transfers (Chapter 1).]

4.1 Conditions for receipt

Chile Solidario and Ingreso Etico familiar are targeted to families in extreme poverty, which implies a score below 4.213 in Ficha de Proteccion Social (the proxy means test used in Chile to assign social benefits).

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Its benefits are:

- i. Psychosocial support that allows access to all the benefits it delivers social network (education, health, housing, training, employment and others).
- ii. Guaranteed access to cash benefits if they meet the necessary requirements.
- iii. Benefits decrease over the first 24 months from 26 USD per month to 14 USD. After that beneficiaries receive an exit grant equivalent to 13.5 USD per month for 3 years (OECD 2011)
- iv. Preferential access to Social Promotion programs, Employee Benefits and Welfare, which include remedial education programs and job skills, technical aids for people with disabilities, drug prevention and rehabilitation, care for family members at-risk of domestic violence, among others.

4.2.1.1 Irregular additional payments [NEW ITEM]

It guarantees the following traditional cash benefits to families who join the “Chile Solidario”:

- i. Single Family Subsidy (SUF) to less than 18 years, subject to school attendance.
- ii. Basic Solidarity Pension former welfare pensions (PASIS) of old age or disability.
- iii. Grant Water Consumption (SAP) to 100% of 15 cubic meters of consumption.
- iv. School Retention Grant Pro. Of Law No. 19,873 of 2003.
- v. Subsidy for obtaining the Identity Card.

4.2.1.2 *Obligations of family members*

To stay in Chile Solidario the obligations are:

- i. The family must not misuse the benefit.
- ii. You should not stop receiving the Exit Bonus Bridge Program.
- iii. They should not abandon or suspend psychosocial support.
- iv. You should not stop collecting monetary profit for 3 consecutive months, without just cause.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

No.

4.3 *Tax treatment of benefit and interaction with other benefits*

No.

4.4 *Benefit duration and waiting periods*

Benefit duration in Chile Solidario is 24 months. It is possible to reapply, but priority is given to families that meet the requirements but have not benefitted from the program.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

There is special treatment to provide protection to children whose parents have been deprived of freedom and whose goal is to provide support for optimal development of children, accompanied by an adequate risk control, through tutors trained in repair and prevention.

4.5.2 *Older workers*

There is special treatment that links to adults over 65 who live alone and in poverty and vulnerability, with public services and social networks of their common article about “Chile Solidario”. In this way, they are guaranteed subsidies and preferential access to social services relevant to their needs.

4.5.3 *Others if applicable*

Special assistance to people on the street that offers personalized psychosocial support services provided by NGOs specialized in working with these people. The program provides subsidies and guaranteed old-age welfare pensions and disability benefits, family allowances and the allowance only to pay the cost of issuing identity cards, as well as free in the processing of criminal background regularization.

5. Housing benefits for rented accommodation

Housing subsidies in Chile are a direct help to families who need support to finance the purchase or building your first home, there are no benefits associated with the rent (lease) housing. In addition, subsidies are seeking partners to support improved housing or existing neighborhoods.

5.1 Conditions for receipt

No.

5.2 Calculation of benefit amount

No.

5.2.1 Calculation of gross benefit

No.

5.2.2 Income and earnings disregards

No.

5.2.3 Costs eligible for housing benefits

No.

5.3 Tax treatment of benefit and interaction with other benefits

No.

5.4 Treatment of particular groups

5.4.1 Young persons

No.

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5.4.2 *Older workers*

No.

5.4.3 *Others if applicable*

No.

6. Family benefits

The “Family Allowance” is paid on a monthly basis to any employee making social security contributions who has dependant children. The definition of dependants includes;

- adopted children as well as those born to the parents;
- children up to the age of 18 or 24 years provided they are single and are regular students in an elementary, secondary, technical, specialized or higher education establishment, and whose income is less than or equal to half the minimum wage.
- The amount of the payment depends on the number of dependant children and the beneficiary’s level of income according to the table below. The modeling assumes that the benefit is assessed on the spouse with the lower earning level where both spouses are working.

2011 Transfer by Dependant	
Annual Income Range (CLP)	Annual Payment (CLP)
0 – 2 188 374	86 040
2 188 375– 3 635 358	60 768
3 635 359– 5 669 922	19 200
5 669 923 and over	0

<http://www.biblionet.cl/tablas/datos/tabla8-2011.htm>

As well as the “Family Allowance”, the government provides the called “bonus per child”, which is a cash amount is given only once to the mother at time of application. This benefit is for all women to July 2009 are not pensioners, regardless of employment status, social and economic. The “bonus per child” is not included in the modelling as it is like a one-off maternity bonus.

The contribution made by the State for each child is 10% of the sum of 18 minimum wages exists in the month of birth of the child (currently are 6450 american dollars), which is deposited in the individual capitalization account for pension or distributed in monthly payments, as applicable, which improves the final amount of the pension. Since the child is born, the bond begins to be profitable every month until the mother reaches 65 years of age.

6.1 Conditions for receipt of “bonus per child”

- Be mother or foster child.
- Be affiliated with an AFP.
- Be Basic Solidarity Pension beneficiaries after July 2009.
- Receive a survival pension (widow) without being affiliated to a pension scheme, provided that you also have the right to Solidarity Pension Contribution.
- Be 65 years or older.
- Have lived at least 20 years in Chile, and have 4 years of residence in the last 5 years immediately preceding the date of filing.
- Have retired from July 1, 2009.

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7. **Childcare for pre-school children**

For the following categories:

- Day Care: from 0 to 23 months.
- Middle Level: years 2 to 3 and 11 months
- Transition Level 1 (Pre - Kinder): years 4 to 4 and 11 months
- Transition Level 2(Kinder): years 5 to 5 and 11 months.

Fraction of children in childcare		
	N	%
Day Care	86,144	19%
Middle Level	211,604	42%
TL1(Prekinder)	172,505	71%
TL2(Kinder)	217,272	95%
Total	687,525	50%
Source: Mineduc and CASEN		

Compulsory education (1st year of elementary school) begins at age 6.

7.1 ***Out-of-pocket childcare fees paid by parents***

All government provided pre-school services are free.
There is no information on private schools.

Free preschool education for the infants in the 40% lowest income families.

7.2 ***Child-care benefits***

None.

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

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7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

8. Employment-conditional benefits

Two programs:

- Bonificación a la contratación de mano de obra (bonus for hiring formal labor), BCM. The BCM is not included in the modelling as it is paid to employers.
- Subsidio al Empleo Joven (Young Employment Subsidy), SEJ (18-24)
- Ingreso Etico Familiar to be implemented during 2012 will include a subsidy similar to SEJ but targeted a women under 40% lowest income in an age range of 25 to 60 years.

8.1 Conditions for receipt

- BCM: Employer receives 30% of the payroll minimum wage of a formerly unemployed individual. This subsidy is target to adults in the 40% lowest income families of the population.

- SEJ: The beneficiaries have to be between 18 and 24 to be eligible.

When the gross monthly earnings are equal to or less than USD 320, the subsidy is equal to 30% of the gross monthly earnings. 2/3 is paid to the worker and 1/3 to the employer.

When the gross monthly wage of the worker exceeds USD 320 and is less than USD 400, the subsidy will be equal to USD 96 (30% of USD 320), corresponding to the employee 2/3 of the subsidy and to the employer 1/3 of the subsidy.

When the worker's monthly gross earnings exceed USD 400 and are less than USD 720, the subsidy will be equal to USD 96 minus 30% of the difference between the gross monthly salary and USD 400. 2/3 is paid to the worker and 1/3 to the employer.

8.2 Calculation of benefit amount

See above.

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

None

8.4 Benefit duration

- BCM: 6 months

- SEJ: Permanent while employed and in the age range (18-24).

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8.5 *Treatment of particular group*

8.5.1 *Young persons*

- SEJ

8.5.2 *Older workers*

None

8.5.3 *Others if applicable*

9. Lone-parent benefits

None. There are indirect benefits to single parents through getting priority in means-test that are used to target most of the safety net benefits.

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments [NEW ITEM]

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

There is a general allowance equivalent to 13.5 UTA⁸ that is deductible from the monthly income (around MM CLP 6.09 pesos). Also, there is another relief for social security contributions in which employer's compulsory social insurance contributions are deductible from income tax payments regardless of whether these payments are paid to government or private health insurers.

There are two non-standard tax reliefs related to Voluntary Contributions and Voluntary Pension Fund Savings (APV, Ahorro Previsional Voluntario) and Housing Mortgage Loan Payments (DFL2).

Additionally, recipients of solidarity pensions who live in poor socio-economic conditions are not affected to health contributions (in the case of full time workers this tax is equivalent to 7% of the monthly income).⁹

10.1.1.2 Standard tax credits

10.1.2 Income tax schedule (central government income tax)

For full time workers income taxes are applied on monthly income on the basis of the following tax rates. These payments are paid by employers.

Taxable Income (UTA)	Taxable Income (MM CLP)	Tax Rates
0-13.5	0-6.09	0%
13.5-30	6.09-13.54	5%
30-50	13.54-22.56	10%
50-70	22.56-31.59	15%
70-90	31.59-40.61	25%
90-120	40.61-54.15	32%
120-150	54.15-67.69	37%
150 and over	67.69 and over	40%

In the case of self employees income taxes are applied on monthly income on a basis of 10%. These payments (PPM, Pagos Previsionales Mensuales) can be paid by the employer or the employee depending on whether the employer is obligated to pay social contributions or not.

⁸ During 2010 UTA (*Unidad Tributaria Anual*) was equivalent to CLP 451260.

⁹ Source: http://www.previsionsocial.gob.cl/subprev/?page_id=251

10.1.3 *State and local income taxes*

No taxes apply to income at state or local government.

10.2 *Treatment of family income*

Each family member declares and pays taxes separately.

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

In the case of dependent workers whose ages are less than 60 and 65 years old for women and men respectively, the employers should pay 10% of the gross income in order to finance social contributions for the pension funds and 7% of their gross monthly income to finance health services, both contributions estimated over a maximum monthly income 66 UF¹⁰. The modelling also assumes a management fee of 1.55 per cent of gross income.

Also, full time workers whose job contracts began after October 2002, should contribute to the Unemployment Insurance System with 0.6% of their gross monthly income. This payment has an upper limit of MM CLP 2.16 (UF 97.1). For all of those workers whose job contracts began before October 2002, the affiliation to the UI is optional.

10.3.2 *Contributions payable by employers*

Employers should pay the equivalent to 0.95% of their employee's taxable income in order to finance occupational accidents (it can also reach 2% for dangerous activities) and disease insurance policy. Also, employers should pay 2.4% of their employees' income to finance unemployment insurance. In the case of workers with fixed contracts, employers should pay 3% of the gross income (2.8% correspond to payments for the employee's individual account and the 0.2% correspond to contributions to the solidarity fund).

10.3.3 *Payroll taxes*

10.4 *Treatment of particular groups*

10.4.1 *Young persons*

¹⁰ UF = 22.246.69 CLP in December, 2011.

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10.4.2 *Older workers*

Workers, whose ages exceed the mandatory age for retirement and continue working, are only required to contribute to the pension fund as their payments to social security. Therefore, they are not required to contribute the funds for payment of social security pensions.¹¹

10.4.3 *Others if applicable*

¹¹ <http://www.safp.cl/573/article-3800.html>

11. Part-time work

11.1 *Special benefit rules for part-time work*

From the tax perspective, part-time workers are those who generate income associated to the emission of fee slips (boletas de honorarios). They do not have long term contracts and are not dependent workers. They are independent and provide services. They can receive tax benefits associated with Voluntary Pension Fund Savings (APV, Ahorro Previsional Voluntario) and home purchases with mortgage credits.. On the other hand, part time workers can deduct from their income tax payments the annual amounts of their interest payments associated with mortgages obligations of purchasing new houses under the DLF2 legislation.

11.2 *Special tax and social security contribution rules for part-time work*

From the perspective of social contributions, part time workers are not obligated to make social contributions related to health and pensions. However, recent modifications establish that from 2015 there will a mandatory affiliation to the pension fund system and from 2018 payments related to health insurance will be mandatory too.

Workers who generate fee slips are required to pay social contributions if their annual taxable income is at least the minimum income at December of the year they are generating revenues (from July 2011 to June 2012, the minimum income is \$182 000 per month). The annual taxable income corresponds to 80% of the sum of the gross revenues received during the calendar year, without considering any kind of discount. (Source: <http://www.previsionsocial.gob.cl/cotizacion-honorarios/pagina3.html>)

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

12.1 Policy changes introduced during 2011

12.2 Future policy changes announced in 2011

From 2015, part time workers should contribute to the pension system in a mandatory way. Also, from 2018 there will be mandatory for them pay health insurance contributions.

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ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.